EBK-001 · Guides

Open a sole prop folder

Set up the records a one-person business in South Africa needs before the first invoice.

MOHAO digital product

What this guide will not do

It will not register a company for you and it will not tell you whether a sole prop or a company is better. That depends on liability, tax, and the contracts you want to sign. A practitioner should answer that.

- Keep a separate bank account for the work.
- Save every invoice number, even the cancelled ones.
- Put the tax year, March to February, on the folder.

The folder

Create five folders: invoices, expenses, bank exports, tax certificates, and contracts. Name files with the date first, then the person, then the type. INV-014 is easier to find later than 'final final'.

- Export the bank statement monthly as CSV and PDF.
- Photograph a till slip the day you get it.
- Do not mix household groceries into the expense folder.

The first invoice

An invoice needs your name, the client's name, a date, a number, what you did, the amount, and the bank details. If you are VAT registered, the invoice has extra rules. If you are not, do not add VAT.

- Start at a number you will not reuse.
- Write the work in the client's words.
- Send a PDF, and keep the editable copy.

A monthly half hour

On the first Monday, export the bank, match it to invoices, and list what is still unpaid. That list is the business. The rest is noise.

- Unpaid invoices are not spendable money.
- Write down a cost you keep forgetting.
- If you are unsure about a deduction, mark it and ask.